When interest rates hit a floor such as i^*, any injection of extra liquidity in the system is absorbed, as people willingly hold money (liquidity) rather than bonds at an unchanged rate of interest, i^*. Therefore once the economy is in a liquidity trap monetary policy cannot lower the rate of interest beyond i^* and hence it cannot affect real variables like s. An increase in money supply (from $(M^s/P)_0$ to$(M^s/P)_1$) has no impact on the interest rate which remains unchanged at i^*. Once you learn about monetary and fiscal policies, you will see that conventional monetary policy becomes ineffective when the economy is in a liquidity trap whereas fiscal policy is very effective in this case.

The concept of liquidity trap became important in policy circles during the global financial crisis of 2007-08, when in advanced economies like USA and Japan interest rates hit a floor and became zero (USA) or almost zero (Japan). In this case conventional monetary policy could not be used to reduce the rate of interest on government bonds any further and policy experiments involving the use of unconventional monetary policy measures had to be explored. Fiscal policy measures were also employed, but increase in public debt levels raised concerns regarding debt sustainability. In the next section we will explore the role of fiscal policy in the Keynesian model and touch on some of these policy issues.

2.6 ROLE OF GOVERNMENT

The classical economists, as we saw in Unit 1, advocated minimal government intervention in determination of prices and wage rate. According to them the activity of the government should be limited to law and order, justice and defence. They assumed that prices and wage rate are flexible, and there is perfect competition in the markets. Consequently, there is no unemployment in the economy.

The Keynesian economics is in sharp contrast to the classical economics. Keynesian model implies that the government has an important role to play in the economy. The government should play an active role to bring in equilibrium in the market. Keynes highlighted that rigidities in prices and wage rate prevent smooth functioning of market mechanism in the real world. He also highlighted the critical role of effective demand in determining the level of output and employment in a macroeconomic context. The classical economists had focused almost exclusively on the supply side (i.e., on production of output). In contrast, Keynesian analysis showed that aggregate demand (i.e., planned spending by economic agents) plays a key role in determining the level of output and employment in the short run.

Keynes pointed out that when lack of effective demand is the underlying cause of an economic recession. When there is high unemployment, there is tendency for wage rate to decline. This will worsen the situation by reducing purchasing power and hence effective demand. Therefore, government should intervene by increasing public expenditure; it should go for a deficit budget. Fiscal and monetary policies can be used to inject additional demand in the economy, so as to enhance spending (aggregate demand). That would lead to increases in output, income and employment in the economy, and the economy would emerge out of the recession.

The success of Keynesian policies during the Great Depression (1929-33) made a strong case for an activist role of the government. In particular, Keynesian economists advocated the use of discretionary fiscal policies, as Keynes had pointed out the limitations of monetary policy. If the economy was in a liquidity trap, conventional monetary policy would be completely ineffective, while fiscal policy would still remain effective.

During the global financial crisis of 2007-08, most countries used the Keynesian prescription of expansionary fiscal policy (increases in government spending) to boost economic activity, although it resulted in widening budget deficits and high levels of public debt. High interest burden on public debt contributes to further widening of budget deficits, raising concerns about sustainability of the deficits. Further, high interest rate may lead to 'crowing out' of private investment.

You must be aware that during 2020 and 2021, the world economy suffered a severe economic crisis due to Covid-19. There was acute shortage in aggregate demand due to decrease in economic activity. The response of the governments to this crisis situation brought to the fore the importance of the policies advocated by Keynes.

Check Your Progress 4

1. Discuss some of the factors that influence the demand for money.

   ....

   ....

   ....

   ....

   ....

2. What is speculative demand for money? How does it affect the slope of the money demand function?

   ....

   ....

   ....

   ....

   ....

3. What is meant by 'liquidity trap'? What are its implications?

   ....

   ....

   ....

   ....

   ....

4. Discuss the role of the government in an economy that is facing a prolonged recession.

   ....

   ....

   ....

   ....

   ....

5. Give any three reasons why policy makers tend to be concerned about mounting budget deficits.

   ....

   ....

   ....

   ....

   ....

2.7 LET US SUM UP

Keynesian model is appropriate for an economy facing recessionary conditions with unemployed resources and lack of effective demand. Keynes assumes that markets are imperfect with wage and price rigidity. Within this framework, output is demand-determined. An increase in any autonomous component of aggregate demand has a multiplier effect, leading to several rounds of increment in output. Our discussion on the consumption and investment functions highlighted the factors that influence these two important components of aggregate demand.

Equilibrium in the Keynesian model can be viewed in terms of the equality between planned saving and planned investment. We learnt about the paradox of thrift, which shows that an increase in the propensity to save results in a situation where aggregate saving may remain unchanged or decline. Since output is demand-determined in this model, an increase in planned saving leads to lower aggregate demand and hence lower output, explaining why we observe the paradox of thrift.

The demand for money (liquidity preference) increases with increase in income and decreases with increase in interest rate. The inverse relationship between